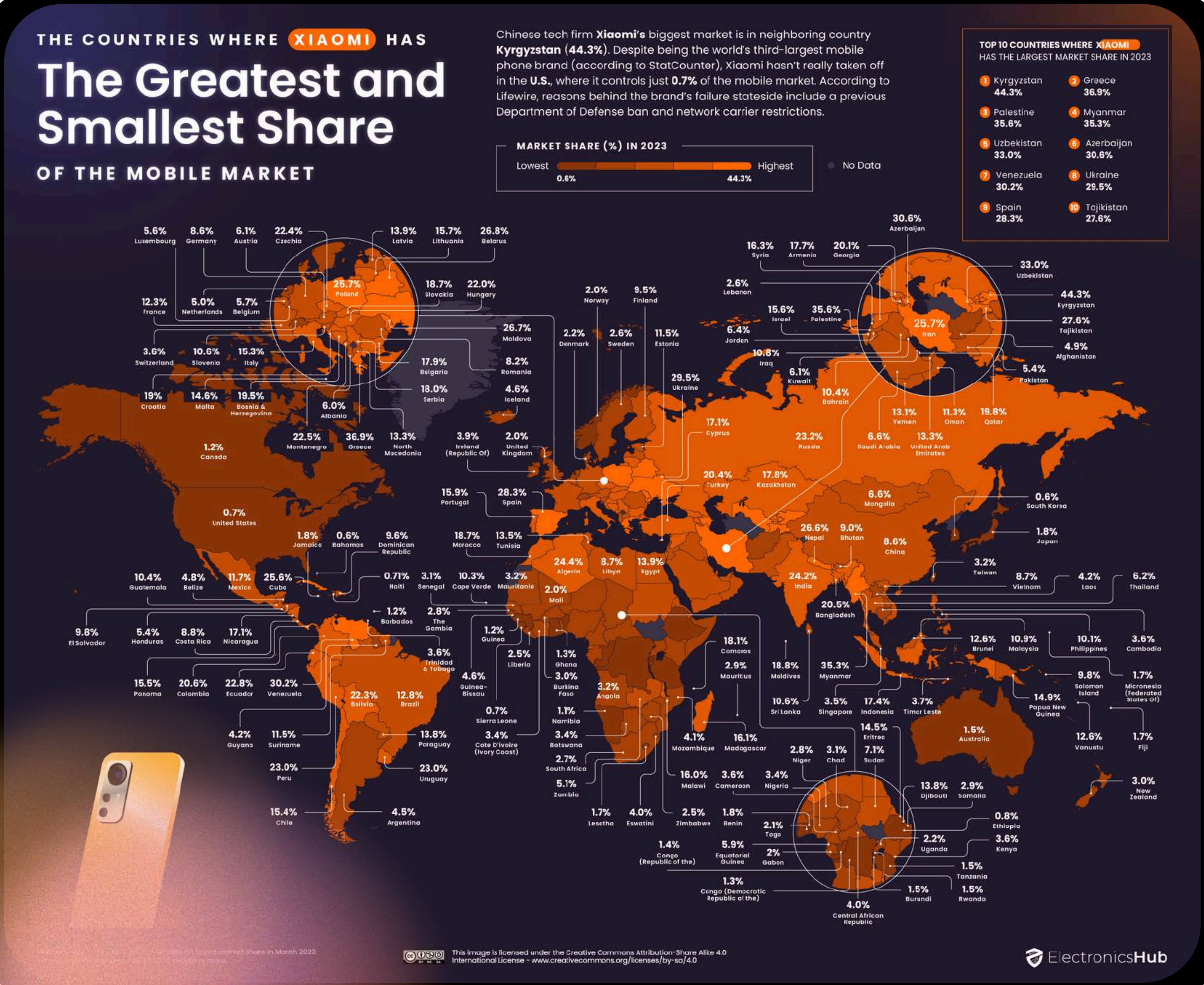
GROUP 3

STRATEGIC MANAGEMENT OF XIAOMI

INTRODUCTION

XIAOMI

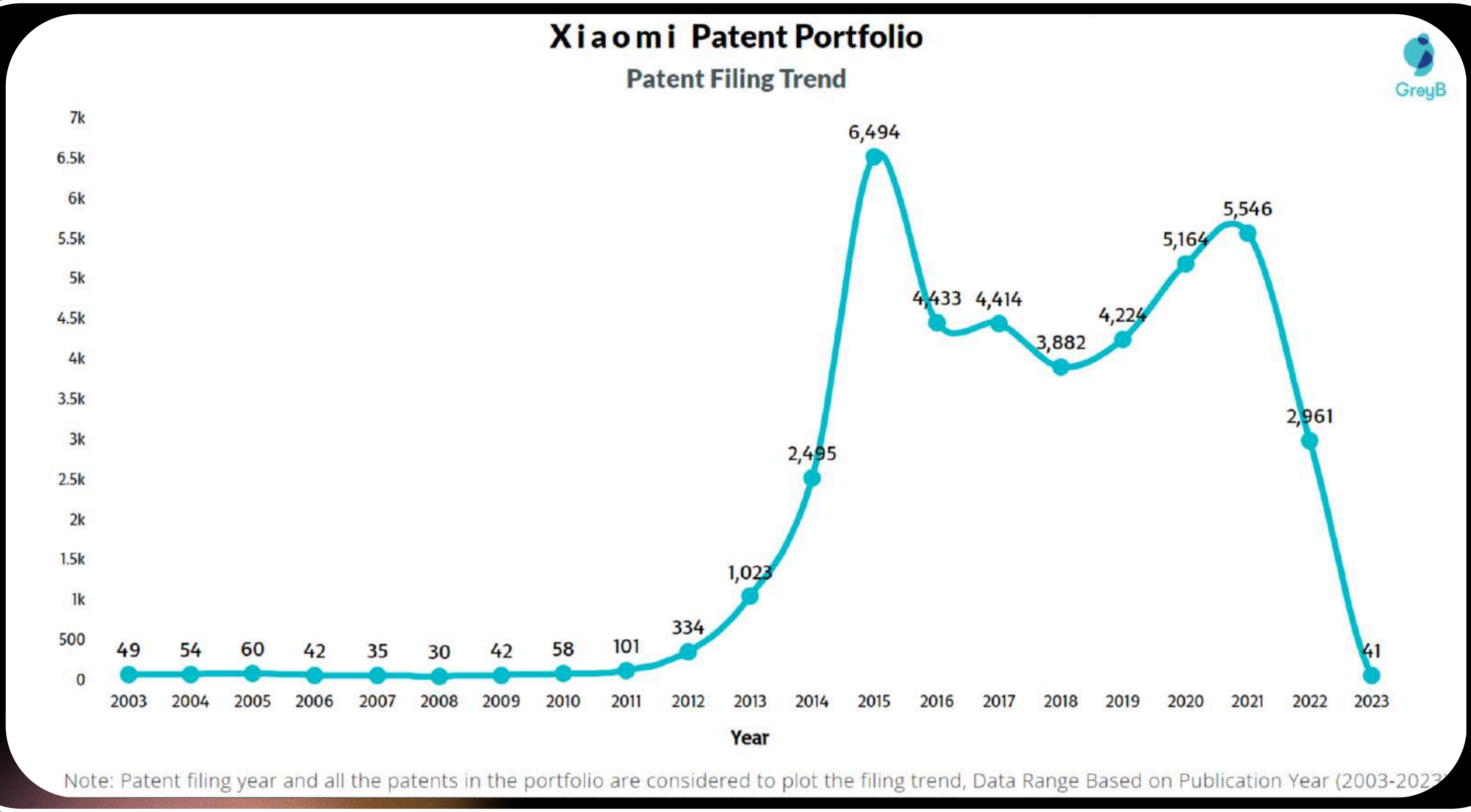


FOUNDED IN 2010, HAD QUICKLY BECOME AN INDUSTRY LEADER IN THE CHINESE MARKET. BY 2016 IT HAD STARTED TO EXPAND INTERNATIONALLY, AND THIS CASE LAYS OUT THE COMPANY'S GLOBALIZATION STRATEGIES AND CHALLENGES MOVING FORWARD.

"Making good but cheap things"

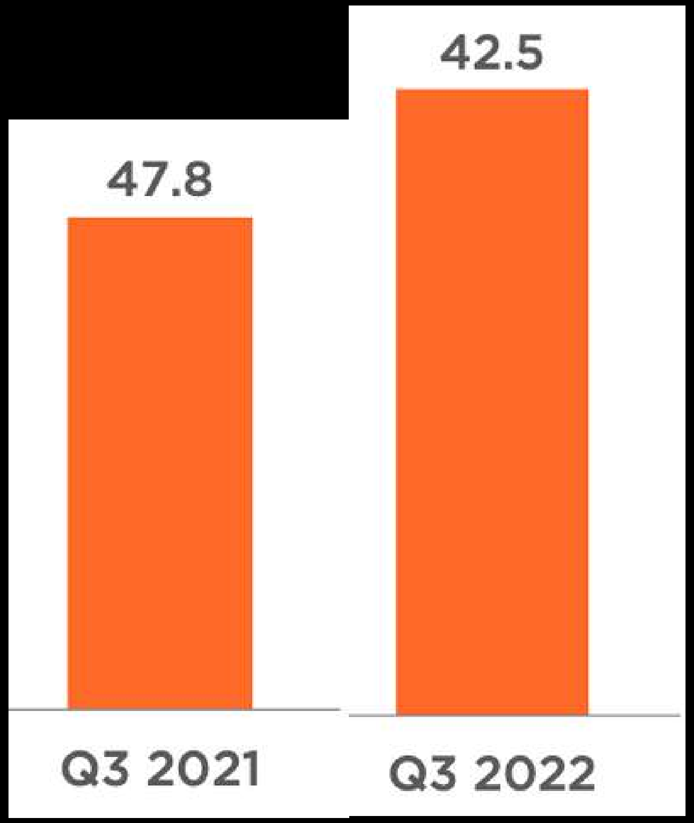
CHALLENGES

- Tailor Android-based MIUI for diverse markets and secured market-access qualifications
- Xiaomi's limited patent portfolio compared to larger competitors exposed the company to potential lawsuits from patent holders in target markets



- A slump in sales

	Three months ended				
	September 30, 2022	September 30, 2021	Year-over-year change	June 30, 2022	Quarter-over-quarter change
	(RMB in millions, unless specified)				
Revenue	**70,474.3**	78,062.9	-9.7%	70,170.9	0.4%
Gross profit	**11,721.9**	14,292.3	-18.0%	11,768.1	-0.4%
Operating (loss)/profit	**(1,361.1)**	2,729.8	N/A	1,733.2	N/A
(Loss)/profit before income tax	**(1,190.8)**	1,787.2	N/A	1,737.0	N/A
(Loss)/profit for the period	**(1,474.0)**	788.6	N/A	1,365.4	N/A
Non-IFRS measure:					



- Difficulty to be seen as a “high-end brand”
- Limited distribution channels
- Intense competition

CHALLENGES

LEADER IN TECHNOLOGY

MISSION

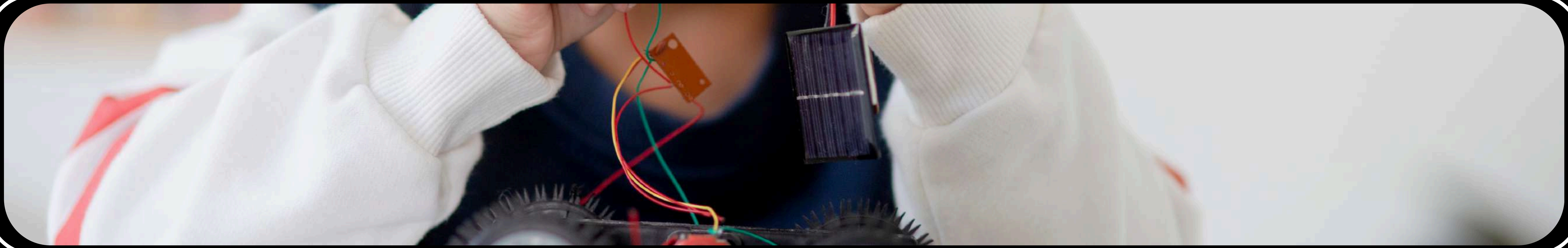
To let everyone in the world enjoy a better life through innovative technology.

VISION

To be the popular mobile internet company.

KEY STRENGTHS

- Competitive pricing and value-for-money products
- Strong brand recognition in emerging markets such as Asia
- Strong online sales networks strenghtened by Mi Home retail stores.
- Diversification in terms of products, from smartphones to smart home devices and wearables.



SWOT

STRENGHTS

-Efficient supply chain management --> good management of costs
-Integration of hardware, software and services --> complete and strong system
-Strong presence in emerging markets (India and South-East Asia)
-Product development based on feedbacks from customers

WEAKNESSES

-Rely mostly on the smartphone segment
-Low presence in developed markets like the US and Western Europe because of geopolitical context and trade restrictions
-Low profit margins due to a model based on costs

OPPORTUNITIES

-Expansion in developed markets -> diversification in terms of revenues
-Development of IoT and AI
-Growth in 5G technology
-Partnerships with telecom operators and local distributors

THREATS

-Massive competitors --> Samsung, Apple, Oppo and Vivo
-Laws, regulation and geopolitical context --> major impact on the sales and the production
-Technological progress --> shorter product lifecycles

BCG MATRIX

STARS

- Smartphones in emerging markets : strong market share, presence in growing regions like India and South-East Asia.
- IoT products : smart home products

QUESTION MARKS

- Electric vehicles : Xiaomi plans to enter the EV market, which is growing rapidly. However, it faces competition from established brands like Tesla and NIO so its success remains uncertain.
- High-end smartphones : Xiaomi is trying to compete in the premium segment (Mi 13 series) against brands like Apple and Samsung. While the market is growing, Xiaomi’s share in this segment is still limited.

CASH COWS

- Mid-range smartphones : established products like the Redmi Note series dominate in markets where smartphone growth has stabilized but Xiaomi maintains strong brand recognition and market share.
- MIUI Ecosystem : Xiaomi's proprietary operating system generates recurring revenue from ads, app services, and cloud storage. This is a steady, mature revenue stream.
- Power banks and accessories : Xiaomi’s line of high-quality, affordable power banks, chargers and other mobile accessories are popular in mature markets.

DOGS

- Traditional TV : even if Xiaomi has smart TVs that are performing well, traditional TVs (non-smart models) have limited growth potential and market share due to consumer preference shifting toward smart technologies.
- Older smartphone models : products from previous generations, such as outdated Redmi or Mi devices, often fall into this category as they lose relevance in markets with fast innovation cycles.

Porter's Five Forces

XIAOMI

Supplier Power (Low):

- Large supplier base reduces dependence

Buyer Power (High):

- Wide range of choices
- Price-sensitive market

Threat of Substitutes (Moderate):

- Alternatives in electronics and IoT

XIAOMI

Industry Rivalry (High):

- Competing with brands like Apple, Samsung, and Huawei

Threat of New Entrants (Moderate):

- High R&D costs deter new players, but low-cost competitors exist

KEY FINDINGS AND RECOMMENDATIONS

Priority	Description	Recommendation	Location
High	Xiaomi has strong market share in Kyrgyzstan (44.3%) but a weak presence in the U.S. (0.7%).	Focus on the U.S. market by addressing **regulatory barriers** (e.g., Department of Defense bans) and partnering with local carriers to improve accessibility.	U.S.
High	Xiaomi's IoT ecosystem is one of its biggest strengths, offering a range of smart, interconnected devices.	Expand the IoT ecosystem in **emerging markets**, with emphasis on **seamless interoperability** and enhancing **data privacy** to build trust.	Global

KEY FINDINGS AND RECOMMENDATIONS

Priority	Description	Recommendation	Location
Medium	Xiaomi is perceived as an affordable brand, which limits its appeal to premium customers.	Introduce a premium smartphone series, highlighting innovation and luxury features through targeted marketing campaigns to reposition the brand.	Developed Markets
Medium	Reliance on global supply chains increases vulnerability to geopolitical risks and disruptions.	Establish regional supply hubs in Asia, Europe, and North America to diversify and enhance supply chain resilience while focusing on sustainability.	Asia, Europe, U.S.
Low	Limited offline distribution channels in several markets restrict customer reach and market penetration.	Partner with **local retailers** and expand offline stores in underserved regions to boost brand visibility and accessibility.	Emerging Markets

CONCLUSION

Xiaomi has established itself as a leading global tech brand with strengths in affordability, innovation as well as ecosystem. However, to sustain its growth, it must overcome challenges like regulatory barriers in the U.S., supply chain vulnerabilities, and limited premium brand perception. By diversifying its supply chains, enhancing its product offerings, and strategically targeting high-end markets, Xiaomi can strengthen its global presence and achieve long-term success.

THANK YOU FOR LISTENING

We truly appreciate your time and interest in learning about Xiaomi's journey and its impact on the tech industry. If you have any questions or would like to explore this topic further, please don’t hesitate to reach out. Let’s stay connected and continue the conversation!